“Describe the difference between Chapter 7 and 13 bankruptcy.”

The goal of filing for bankruptcy is to relieve a debtor of some of the debt they owe, while giving creditors as much as possible, under the pretense that the total owed by the debtor isn’t repayable through normal means. To achieve this, consumers primarily file for either Chapter 7 or Chapter 13 bankruptcy.

The claims of creditors associated with the debtor have three different levels of importance. First are priority claims, like taxes or the fees associated with filing, where money is owed to the government. Next are secured claims, where the creditors have the right to take the property back because of the failure to pay. Creditors giving car loans or mortgages fall in this category. Last are unsecured claims, like credit card debt, where there’s nothing specific to source the failed repayment to, or nothing physical to collect. A business’s supplier is also this type of creditor.

The two filings are similar in many ways. The same financial documents are collected, and the debtor has to appear to discuss their finances under oath in a meeting with the creditors. The fees associated are similar. A trustee is assigned to a filing with the role of overseeing the payments involved and their distribution. Which to choose is clearly defined by the differing circumstances each Chapter’s payment plan creates.

Chapter 7 bankruptcy is also called liquidation bankruptcy, because it involves the debtor selling most of their assets. The goal of this filing is a discharge, legally waiving the debtor’s liability to the creditor. The commencement of a Chapter 7 immediately places legal ownership of all of the filer’s property into an estate and stops the collection of most property. Ironically, most filings are “no asset” cases, where the debtor didn’t have any assets left anyway. Unless the bankruptcy is found to be illegitimate because the filer engaged in dishonest activities, most debt owed to unsecured creditors is waived through a discharge. However, some debts, like student loans or child support, cannot be waived. Generally, this filing takes four to six months.

This is the choice for debtors who own very little property and don’t own businesses. If the debtor makes more than their state’s median income, a test is performed to determine if the filing was abusive in nature. The filing could be dismissed or forcibly converted to a Chapter 13 filing.

Chapter 13 bankruptcy can be considered a plan for a wage earner. In a filing, a debtor proposes a certified plan to repay the debt over three to five years. It differs from Chapter 7 by allowing property to be retained, as long as regular payments are made. All disposable income must be paid to the trustee for the duration of the plan, except for amounts needed to pay the debtor’s bills and, if applicable, operating expenses.

The debtor is relieved when the debt is paid, or in rare cases, if they’re given a hardship discharge. This can occur if the debtor becomes disabled or other circumstances outside of their control are created, where they cannot continue paying. It can only be granted if they’ve paid more than they would’ve if they filed a Chapter 7, and modification of the payment plan is impossible.

This choice is meant for debtors with a reliable source of income or a business. It protects any co-owners you may have by halting collections on shared property. However, it takes away any disposable income a debtor could have until the debt is repaid. Objections by creditors are rare, but could happen if they believe liquidation of the debtor's assets is more reasonable.

The primary difference in these filings is what is done with the debtor's property and the duration of the filing. In a Chapter 7 bankruptcy, the debtor is relieved of any non-exempt assets and given a discharge in a few months. In a Chapter 13, collections are paused to give the debtor breathing room to repay what's owed over multiple years. It's important to note that things like a car or a home can be exempt from either proceeding, as they play a large role in the debtor's ability to survive or make payments after filing bankruptcy. In a Chapter 13, those assets have likely already been considered, and the associated debt would already be a part of the plan. However, in a Chapter 7, the debt may need to be reaffirmed, meaning the debtor must create a new plan with the creditor to continue paying for the asset. If a payment is missed, creditors are allowed to start the collection process.

Both offer reasonable relief from debt through their consolidation and attempt to make creditors whole. Creditors deserve as much of the money they're owed as possible, and they're more likely to be paid in full without the debtor at war with several separate interest rates. It's also immoral to make a man live a life where they could never have money again because the walls of debt and its consequences have stacked too high. In many situations, a bankruptcy filing is the most logical path forward for all parties. The choice between Chapter 7 and 13 is determined by an honest assessment of what you expect to do once relieved of the debt. Chapter 7 resets you to zero, while Chapter 13 gives you time to save yourself from zero.